

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **Inflation picked up** in June, accelerating 2.7% from a year earlier, in a potential sign that companies are starting to pass the cost of tariffs on to consumers. **A1**
- ◆ **The inflation data** weighed on U.S. stock indexes, with the S&P 500 and Dow slipping 0.4% and 1%, respectively. The Nasdaq bucked the trend, rising 0.2%. **B11**
- ◆ **JPMorgan Chase CEO** Jamie Dimon sounded a clear warning against the Trump administration's attacks on the Fed's chairman, describing the central bank's independence as crucial. **A3**
- ◆ **America's biggest banks** said the U.S. economy showed signs of resilience in the latest quarter despite escalating threats of a global trade war. **B1**
- ◆ **Tesla's top sales** executive in North America left the company, the latest high-level departure from an automaker experiencing a steep drop in sales. **B1**
- ◆ **BlackRock's shares fell** 5.9% after an institutional client in Asia pulled \$52 billion from the firm's index funds in the second quarter. **B5**
- ◆ **Investment firm** Aquarian is in exclusive talks to acquire U.S. life insurer Brighthouse, prevailing over other firms competing for a deal. **B2**
- ◆ **Rio Tinto named** Simon Trott as its next chief executive, elevating an executive who oversaw the company's iron-ore operations. **B2**
- ◆ **Volvo warned that** tariffs and launch delays would hit the profitability of two electric models in the U.S., leading to a \$1.2 billion one-off charge. **B3**

World-Wide

- ◆ **The U.S. isn't planning** to provide long-range missiles to Ukraine as part of a new U.S. and European aid initiative, Trump said, warning Kyiv not to target Moscow. **A6, A7**
- ◆ **Senate Republicans** advanced a slimmed-down \$9 billion package of spending cuts that preserves funding for AIDS treatments in Africa, after reaching an agreement with the White House. **A4**
- ◆ **Commerce Secretary** Howard Lutnick said the Trump administration's about-face on Nvidia's selling H20 AI chips in China was to cultivate Chinese dependence on American technology. **A2**
- ◆ **The U.S. and allies** began joint military exercises in Australia meant to send a message of deterrence to China in response to its increasingly assertive stance in the Asia-Pacific region. **A16**
- ◆ **Syria announced** a ceasefire shortly after government forces entered a key city in southern Syria a day after sectarian clashes in the area killed dozens of people. **A16**

- ◆ **Retired MLB pitcher** Daniel Serafini was convicted of first-degree murder and attempted murder in the shootings of his wife's parents four years ago. **A5**
- ◆ **In its recent attacks** on Israel, Iran pierced its enemy's defenses with increasing success, showing that even the most-advanced air defenses can be penetrated. **A7**
- ◆ **The pace and scale** of Afghans returning home from Iran are overwhelming already fragile support systems, a senior U.N. official said. **A16**

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Wildfire Turns Grand Canyon Into a Hellscape



DAVID SWANSON/REUTERS

DRAGON'S BREATH: Arizona fire crews struggled Tuesday to contain the rapidly spreading Dragon Bravo Fire along the North Rim of the Grand Canyon. The National Park Service's decision not to aggressively attack the blaze early has drawn criticism.

President Bets Shifting Strategy On Trade Can Help Negotiations

Trump wants to keep other countries guessing, but his approach faces risks

By GAVIN BADE

WASHINGTON—President Trump's whirlwind of trade moves is driven by a bet that keeping other countries guessing will allow him to better dictate negotiating terms with trading partners, ultimately making it easier to bend them to his will, according to Trump's aides and allies.

The downside risks of that bet have become clearer in recent days. Trump's tendency to back off deadlines threatens to weaken his hand, and his use of a novel legal theory to underpin much of his trade agenda opened him up to a legal challenge that might send the trade agenda back to the drawing board.

In the past week, Trump upended his trade talks by sending letters to more than two dozen countries, outlining the tariffs importers will pay on their goods after Aug. 1. He said the deadline won't change and that his steep, so-

called reciprocal tariffs would go into effect on that date—but urged countries to continue negotiating.

Then over the weekend Trump unexpectedly hit two of the U.S.'s largest trading partners, the European Union and Mexico, with threats for higher tariffs, even as Mexico's economic team was in Washington, and an EU delegation was there days before.

And on Monday, Trump said at a White House meeting that he would be fine with not striking any trade deals at all. That message contradicts senior aides, such as Treasury

Secretary Scott Bessent, who for months have said that dozens of pacts are just around the corner.

"He goes on television and he calms the market. I go on television, I rile the market," Trump said of Bessent, adding: "did you make any deals today? We've got a lot of them, but the best deal is just sending out the [tariff letter]."

Trump's allies said that statement, along with others playing down his desire for

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◆ **Greg Ip: Deal or no deal, Trump wins on tariffs.... A2**

INSIDE



HBO MAX/EVERETT COLLECTION

PERSONAL JOURNAL
New shows, including ER drama 'The Pitt,' top the Emmy nominations. **A9**



BUSINESS & FINANCE
New York City hotels buck the malaise striking the industry across the country. **B1**

A Rare-Earth Play to End China's Dominance

Pentagon and Apple deals turbocharge MP Materials' goal, but hurdles highlight challenge of reviving U.S. industry

By JON EMONT

FORT WORTH—At an industrial site in this Texas city, men dressed in head-to-toe protective gear dip giant ladles into a well of molten metal heated to 1,800 degrees Fahrenheit. They're making something the U.S. has hardly, if ever, produced at commercial scale in recent decades: rare-earth metals.

The factory is the most visible mark of MP Materials' high-stakes, billion-dollar bet that an American company can take on China's dominance over the metals—and the magnets they power in everything from smartphones to missile systems.

In recent months, China has used its chokehold over 90% of the world's rare-earth magnets to cut off access to Western companies, rattling industrial giants such as Ford and Tesla and forcing the U.S. to the table for trade talks.

MP has invested more than \$1 billion in new infrastructure and equipment. A mine it controls in California has become the largest source of rare-earth minerals in the Western Hemisphere. Now, with its expanding Texas facility and fresh investment from the Pentagon, the company is racing to complete the supply chain so it can start converting

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Europe Helped Foster Trump's Putin Pivot

By BOJAN PANCEVSKI

BERLIN—After seeing footage of Russian airstrikes on Ukrainian cities late on July 11, President Trump called Chancellor Friedrich Merz of Germany to express frustration over Vladimir Putin's continued assault on his smaller neighbor, two people familiar with the conversation said.

Merz was surprised, these people said, but realized Trump had lost patience with the Russian president. Trump said he was now ready to accept an offer Merz had made days earlier: to use German funds to buy U.S.-made weapons for Ukraine, the two officials said.

"President Trump has expressed his frustration with

Putin in public and in private," White House spokeswoman Anna Kelly said. "He wants to stop the killing and end this brutal war, which is why he is selling American-made weapons to NATO members."

On Monday, Trump set a 50-day deadline for Putin to begin negotiating in earnest, announced a major arms package for Ukraine—to be financed by North Atlantic Treaty Organization countries—and threatened to impose additional economic sanctions on Moscow if it

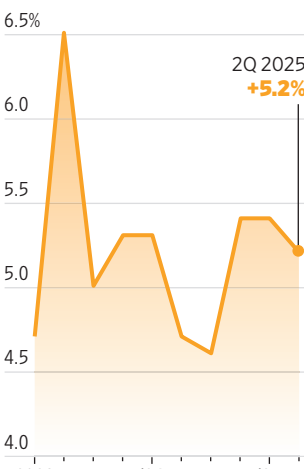
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◆ **Trump, Zelensky discussed ability to hit Russia A6**
◆ **Ukraine awaits arms after U.S. promise..... A7**

Beijing Meets GDP Target

Exports bolstered China's gross domestic product in the second quarter. **A16**

China's GDP, change from a year earlier



Source: China's National Bureau of Statistics